

of 10 has partially filled the gap between 11 and 8 on the way down and thus the technical requirement was only to go to 9 in order to have filled all the gaps from 11 down to 8. In view of the additional fact that a second resistance level on the way back up existed at 9 it was utterly logical that the advance this time *would stop at 9*.

The downturn which now commences at 9 constitutes a *bearish* formation of *declining tops* (the first and higher top at 11). Since the previous rise was a straight-line 4 through 9 advance there is no support on the way down until the previous major support at 4 and thus the figures go down.

The pattern of decline is 9, 8, 7, 6, 5, 6, 4, 3, 4, 5 and 1. Declining tops have been recorded at 11, 9 and now 6. The temporary upturn to 6 set the figure 5 up as temporary support. When the figure 4 immediately followed it meant that the pattern of declining tops and the downside penetration of the support at 5 supplied a *bearish signal* which would not allow the previous basic support at 4 to be maintained this time. Sure enough, the support at 4 was immediately broken with the drop to 3 for the first time. The drop to 3 was another bearish signal for lower figures yet to come but first there was a temporary rise, the figures 4 and 5 following the drop to 3. *The rise had to be temporary for two strong technical reasons.* The drop to 3 had already given a bearish signal and the previous support at 5 on the way down *became the resistance level on the way up*. The pattern then completed itself with a *climactic* decline to 1 (as predicted by the bear signal at 3). Just as the jump from 8 to 11 in the early figures on the way up was climactic on the upside, so was the drop from 5 to 1 climactic on the downside.

*Following an upside climax there is a fast retreat.* Bach showed this when the initial jump from 8 to 11 was followed by the 8, 6, 4 retreat. *Following a downside climax there is fast advance.* Bach now showed this with the 3, 5, 7 advance after the drop to 1 was recorded. This advance pattern set up gaps at 2, 4, and 6. The gaps at 4 and 6 were then filled by the succeeding figures of 6, 5, 6, 4, 5, 6. The next figure is an 8 and